Insurance: M&A and Reinsurance; Opportunities in a softer rate environment

Julian Braganza, FIAA
+61(2)9321-8487 |
julian.braganza@gs.com
Goldman Sachs Australia Pty Ltd

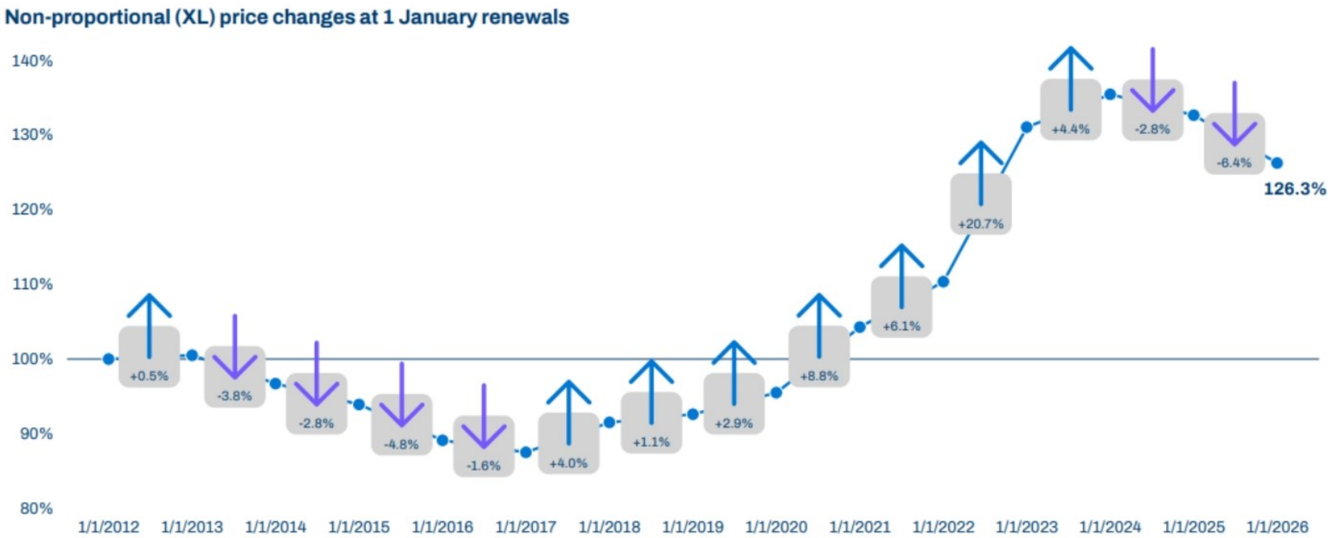
Chris Matthews, FIAA
+61(2)9321-8370 |
chris.matthews@gs.com
Goldman Sachs Australia Pty Ltd

- As premium rate increases slow/soften across a number of classes, we see **1) incremental reinsurance opportunities** for insurers to optimise ROEs/Margins + a **broad based increase in M&A** across the sector, as historically observed, particularly as valuations pull back on businesses materially exposed to classes seeing material rate pressure. In this context, we note that:
    - **Reinsurance markets and excess capital are proving favourable for direct insurers** + supply of alternative third party capital which should help support capacity for large scale reinsurance transactions. We think this presents opportunities for IAG's Intermediated business and also for SUN to consider optimising returns across their business. With margins in excess of targets for the personal lines insurers as a result of the hard premium rate cycle, we think IAG / SUN are buying (or have bought) additional reinsurance protections with profit commission terms to help smooth margins by deferring profits into outer years.
    - **Japanese non-life insurers (e.g. Tokio Marine) hold significant excess capital** supported by divestments of cross-holdings and have publicly flagged International M&A opportunities to diversify their exposures; with Australia noted as an attractive market for growth and diversification. This may present opportunities for both IAG's Commercial business and both SUN/IAG's personal lines businesses; and we highlight the evidence / key points from their strategic disclosures within this report.
- Across our insurers, IAG is pursuing its acquisition of RACI with SUN flagging potential opportunities in the Commercial space (organic or otherwise). Inwardly, IAG flagged possible reinsurance structures for its Commercial business to release capital (perhaps ROE neutral/ upside) with M&A flagged as not a strategy. Ex the Quota share, and post bank sale, we note that SUN is a pure play general insurer similar to IAG.
- See within for details.

Reinsurance: Favourable rate reduction expected in June

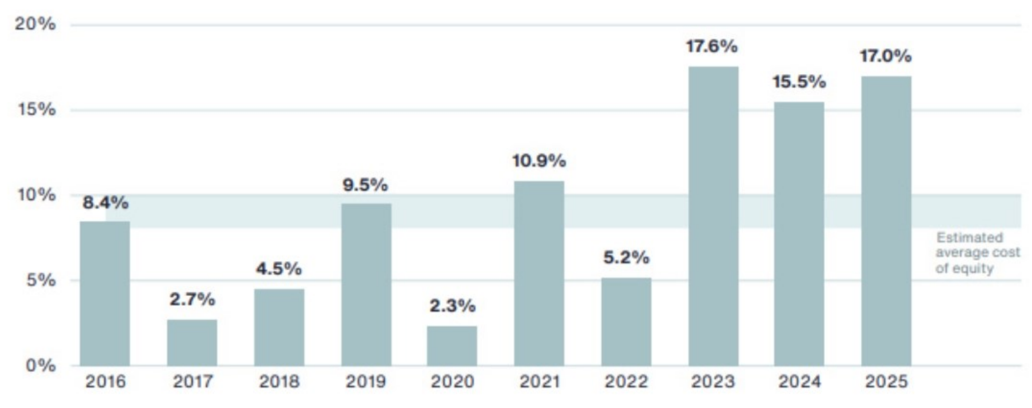
- **1 Apr-26 Renewal backdrop:** Risk-adjusted rates fell significantly across US and Asia, returning to early 2020s levels.
- **1 Jul-26 in Australia is expected to be down between 10-15%; closer to 15% overall:** It is likely that this would still not be the bottom for reinsurance rates with reinsurer ROEs still adequate and over-earning long term averages. This could also be supported further if their perils losses are relatively benign.
- **Rate reductions have been the same globally in markets:** And have not reflected the starting position of rate adequacy in each of the individual geographies i.e. Every market seems to have a very similar rate reduction across Australia, Africa, and China so rate adequacy today by market may look a little more chequered.
- **Greater competition emerging from 2nd and 3rd Tier reinsurers.**
- **Reinsurance demand up ~10%,** driven by retention buy-downs, frequency protection, and higher limits/extended CAT (catastrophe) towers. However, with very strong ROEs we think reinsurers are still generating capital in excess of organic growth consumption.
- **Global reinsurer capital up ~10% to US$785bn and** third-party capital (CAT bonds/insurance-linked securities) up 18%, driven by investor appetite and strong reinsurer retained earnings (ROEs ~17%).
- **Benign CAT losses reinforce favourable reinsurance trends;** significantly higher losses are needed to result in a material shift in pricing.

Exhibit 1: Natural Catastrope Reinsurance Pricing Cycle as portrayed by Hannover - remains favourable
Despite recent rate reduction, reinsurance rates remain very rate adequate.



Source: Company data

Exhibit 2: Reinsurance sector ROEs



Source: AON

Exhibit 3: Reinsurance sector capital

Source: AON

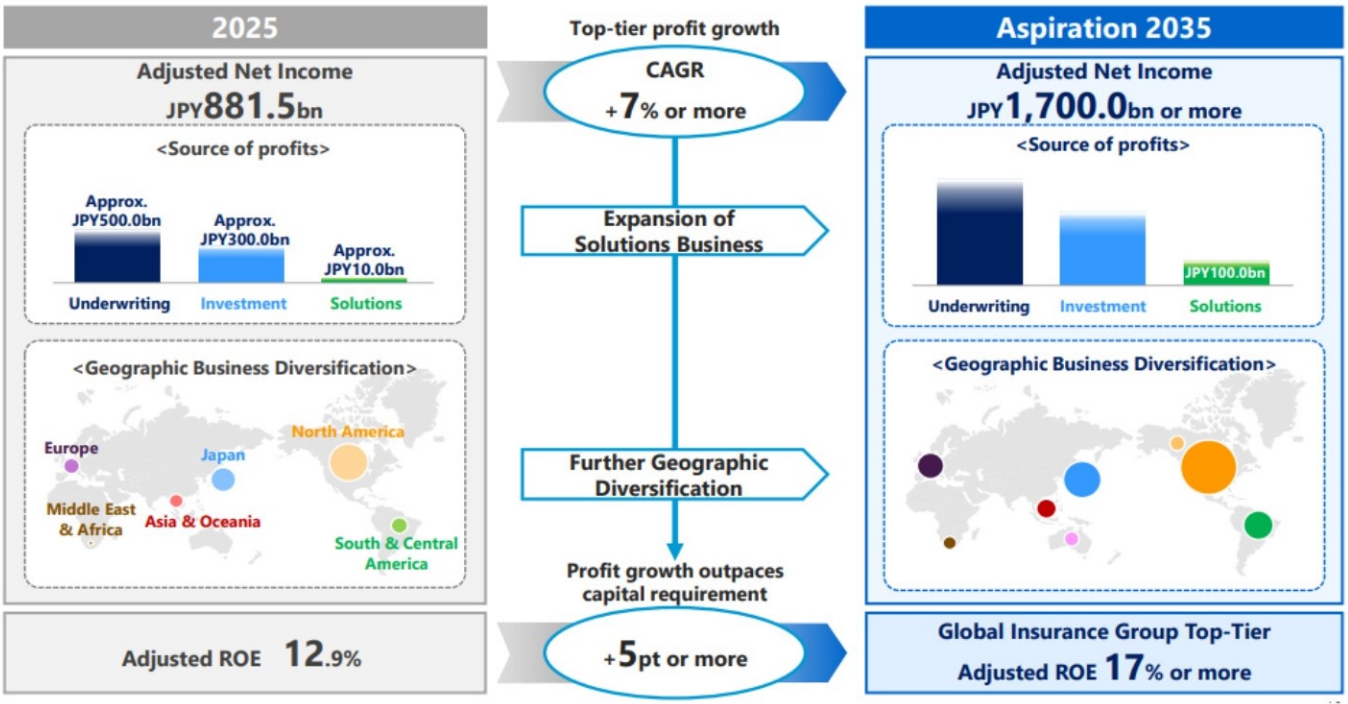
IAG's Commercial business strategy

- **IAG restructured the licensing of its Intermediated business to support a potential reinsurance structure:** IAG has transferred its intermediated insurance business (covering the CGU and WFI brands) into a standalone subsidiary which operates under its own separate general insurance license.
- **The problem IAG is trying to address is that the intermediated business has been earning ROEs that are well below Group ROEs of ~15%:** IAG's intermediated business has consistently earned returns that is below Group margins / ROE i.e. 11.7% currently v Group of 15%+. With material expense savings, the Intermediated business is expected to get to ~13% insurance margin / ROE which is still below Group with further capital optimisation initiatives needed to support returns.
- **While we think reinsurance is a potential catalyst for IAG's Intermediated business, IAG could well be exploring a number of options:** IAG is targeting a 13% margin on this business v 11.7% at 1H26 currently; largely through expense ratio reductions. We think there is further upside to margin / ROE for this business through a possible reinsurance transaction with M&A not specifically flagged as a strategy by IAG.

Tokio Marine (Not Covered) 2035 Strategy /Plan: M&A a feature

- **The company's plan targets 7%+ Profit growth CAGR into FY35**
- **Geographic diversification targeted through a combination of a)** Organic growth **b)** Business build out **c)** Small and medium-sized bolt on M&A **d)** Large M&A.
- **Building out growth opportunities with low correlation to existing business:** both across geography and product set to minimise the impact on capital requirement strain resulting in better ROE trends.
- **Targeting a significant improvement in group ROE to 17%+ from ~13% currently.** This will also be driven by a combination of reallocating capital from equity stake to higher returning investments offshore, per the company.
- **Stronger presence in Australia targeted.**

Exhibit 4: Tokio Marine 2035 ambitions



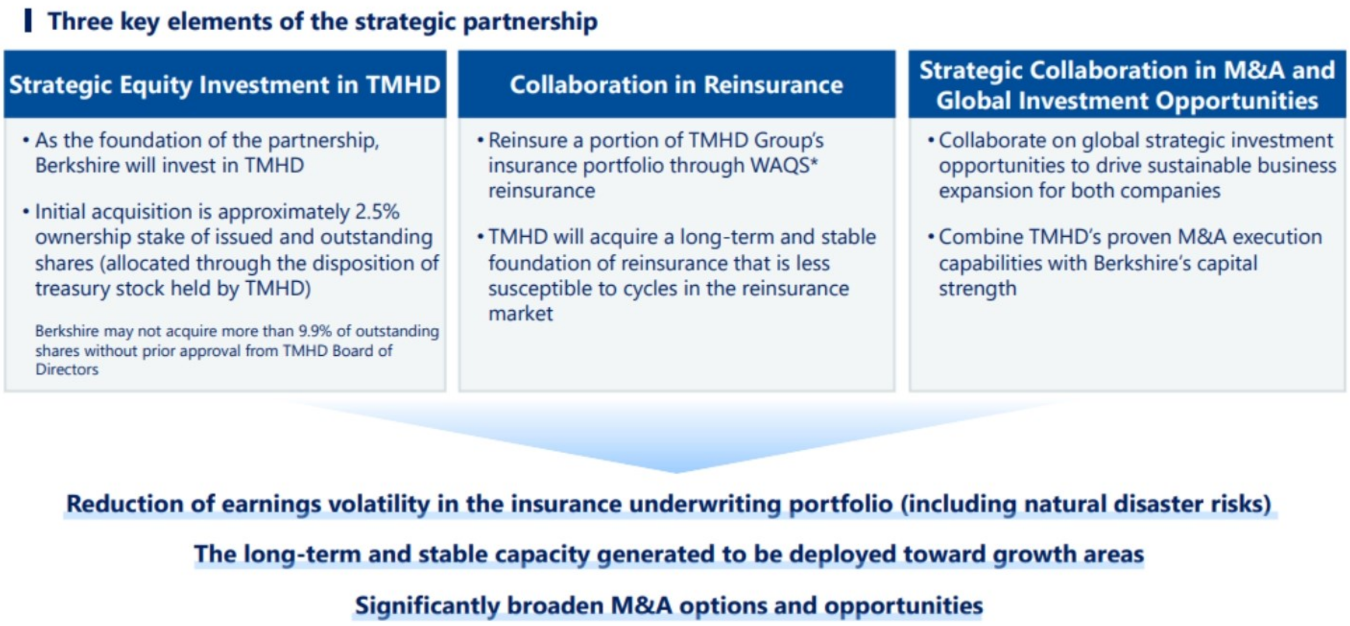
Source: Company data

Tokio Marine /Berkshire Partnership: Collaborating on M&A

- **Tokio Marine entered into a strategic partnership with Berkshire Hathaway insurance in March this year.** The partnership mirrors IAG's own partnership with Berkshire however it also opens up Tokio Marine to large scale M&A in collaboration with Berkshire.
  - As the foundation of the partnership, Berkshire has taken a stake of 2.5% in Tokio Marine (capped at a maximum of ~10%).
  - Tokio Marine is also reinsuring a portion of the group insurance portfolio through a Whole of Account Quota Share over a 10 year term. The portion of the reinsurance is undisclosed. This will achieve a reduction in earnings volatility in the insurance portfolio supporting earnigns generation for growth.

- ☐ Tokio Marine and Berkshire will also look to collaborate on global strategic investment opportunities to drive sustainable growth for both companies. Berkshire is leveraging Tokio Marine's M&A execution capability and Tokio Marine is leveraging Berkshire's capital strength which will significantly broaden M&A options and opportunities.

Exhibit 5: Tokio Marine Partnership with Berkshire



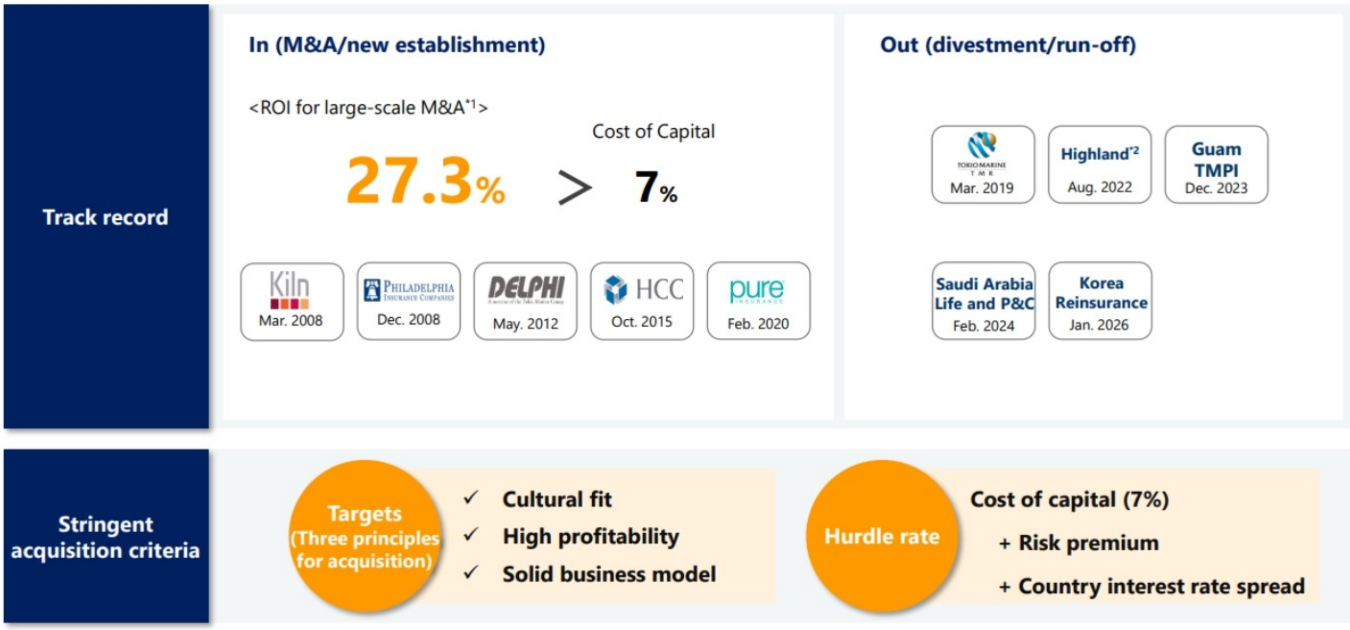
*Whole of Account Quota Share arrangement

Source: Company data

Tokio Marine's M&A strategy

- **Until recently Tokio Marine's focus was on smaller /unlisted targets with lower multiples.** The partnership with Berkshire should provide access to a larger pool of capital.
  - ☐ **Tokio Marine will have capital capacity / M&A firepower of up to US$20bn standalone:** Driven by **1)** Re-deployment of excess capital post sale of equity investments **2)** Optimising balance sheet through use of subordinated debt.
  - ☐ Pipeline extends beyond US$1bn type acquisitions / bolt-ons to large scale M&A in collaboration with Berkshire.
  - ☐ Preference for unlisted targets noting better multiples and ability to negotiate on price v listed players.
  - ☐ M&A preference for lines that are showing more material softening on rate which has better valuations e.g. Financial lines.
  - ☐ FX /weaker Yen is not an issue noting Tokio Marine earns a good proportion of profits in USD that can be deployed.

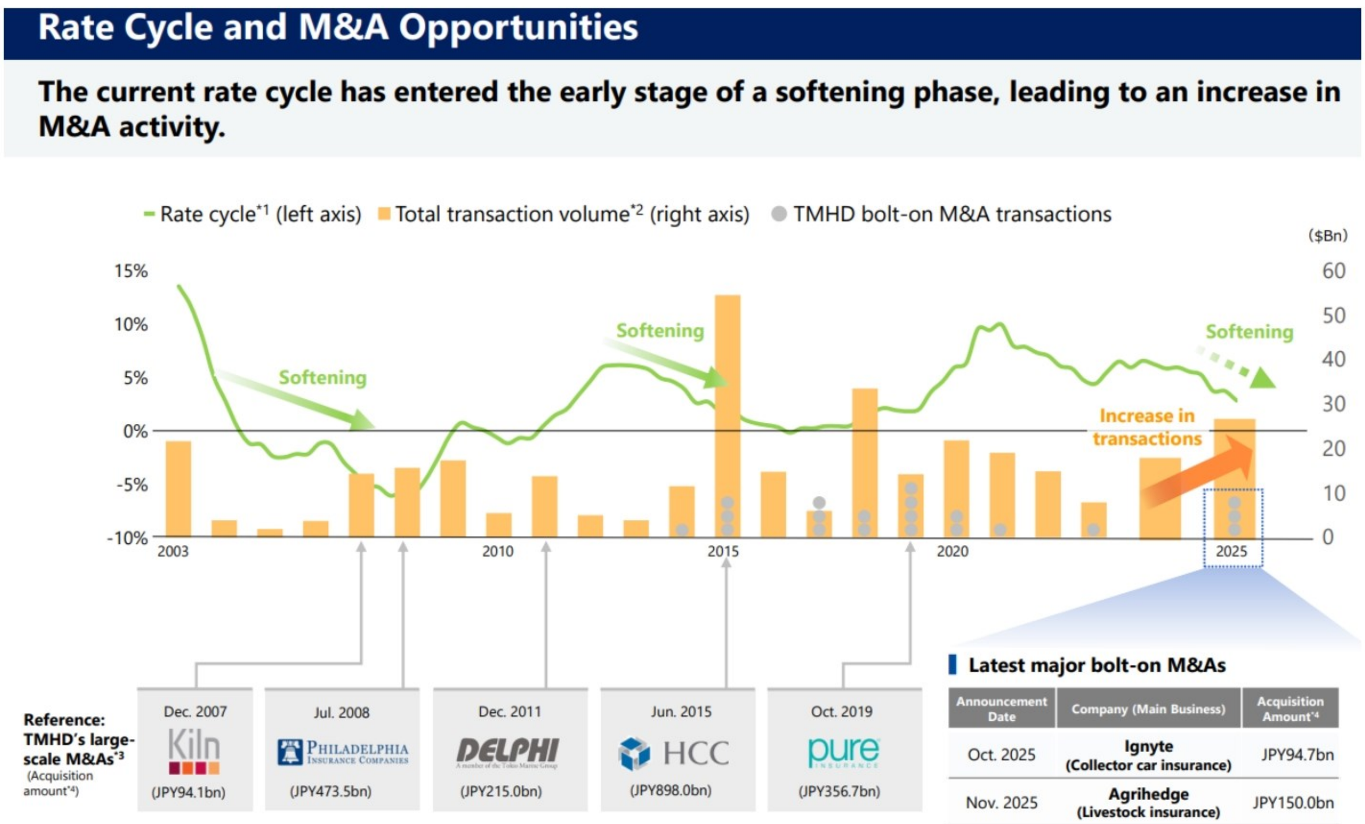
Exhibit 6: M&A framework and track record



*1: ROI numerator is simple sum of FY2026 projections for adjusted net income, denominator is simple sum of acquisition amounts (differs from ROE, which reflects diversification effect (=ROR / ESR))
ROI based on FY2025 results for adjusted net income is 27.6%
*2: Agent handling construction insurance in the Tokio Marine Highland (former WNC) group owned by TMK

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 7: M&A scotp in Commerical



Announcement Date	Company (Main Business)	Acquisition Amount*4
Oct. 2025	Ignyte (Collector car insurance)	JPY94.7bn
Nov. 2025	Agrihedge (Livestock insurance)	JPY150.0bn

*1: U.S. Commercial market (Source) WTW, Commercial Lines Insurance Pricing Survey
*2: Global M&A transactions announced between 2003 and 2025, involving $100M or more, targeting P&C insurance companies (Source) Dealogic. *3: Date is the announced date. *4: FX rate at the time of announcement

Global M&A transactions announced between 2003 and 2025, involving US$100M or more, targeting P&C insurance companies

Source: Dealogic

Exhibit 8: Tokio Marine historical M&A since 2008
TM has been buying global insurers for two decades

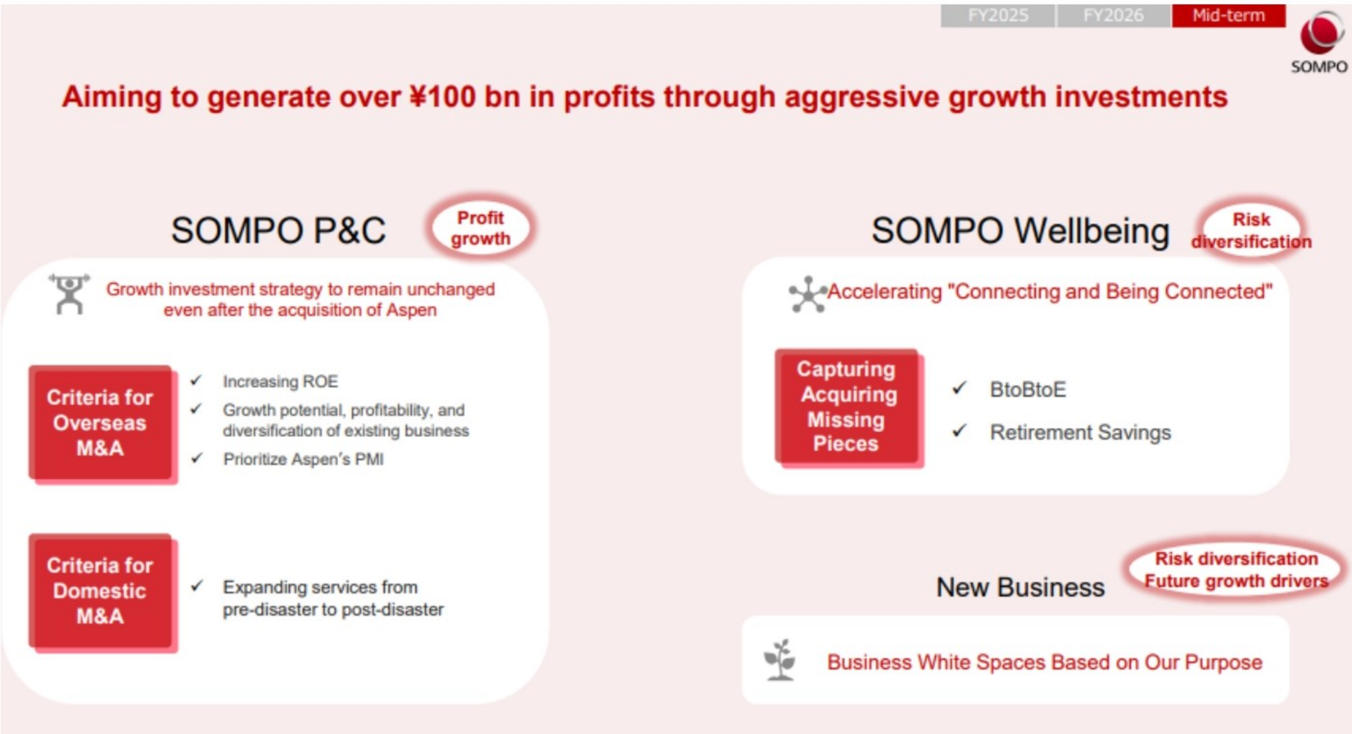
Target	Description	Year	Value
Kiln	Lloyd's of London specialist	2008	£442m
Philadelphia Consolidated	US property & casualty	2008	$4.7bn
Delphi Financial	US life, property & casualty	2012	$2.7bn
HCC Insurance	Global property & casualty	2015	$7.5bn
Privilege Underwriters	US property & casualty	2019	$3.1bn

Source: Financial Times, Data compiled by Goldman Sachs Global Investment Research

M&A Strategy - Sompo (Not Covered)

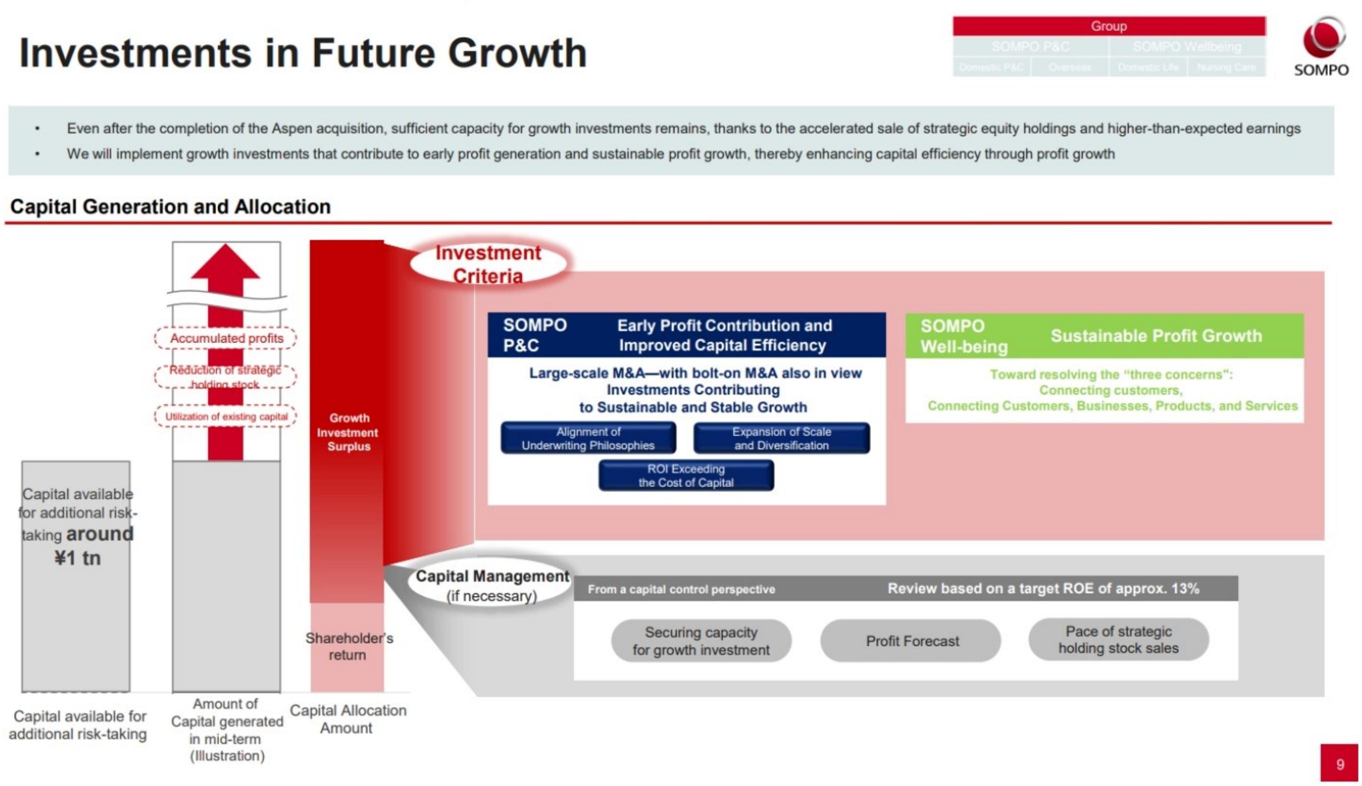
- **Remains committed to M&A in P&C:** post US$3.5bn acquisition of global insurance and reinsurance company Aspen in Feb-26.
- **Holds >JPY$1trn (~A$8.9bn) of excess capital for growth:** with ~60-70% of this committed for overseas M&A.
- **Sompo is targeting large-scale M&A in P&C, with bolt-on M&A also in view:**
  - Looking for targets with alignment in underwriting philosphies, expansion of scale and diversification and ROI exceeding the cost of capital.
  - North America and Europe are targeted regions for M&A within Commercial markets.
  - **Criteria for overseas P&C M&A: 1)** Increasing ROE, **2)** Growth potential, profitability, and diversification of existing business, **3)** Prioritise Aspen's PMI.
  - **Criteria for domestic P&C M&A:** Expanding services from pre-disaster to post-disaster.
- **Sompo strengthened its presence in the Australian market through the recruitment of 9 specialist underwriters in Apr-26:** Underwriters have established expertise across property, casualty, financial lines, energy and construction.

Exhibit 9: Sompo's investment framework
Sompo intends to remain aggressive in M&A in P&C, even after the acquisition of Aspen



Source: Company data

Exhibit 10: Sompo investments in Future growth plan

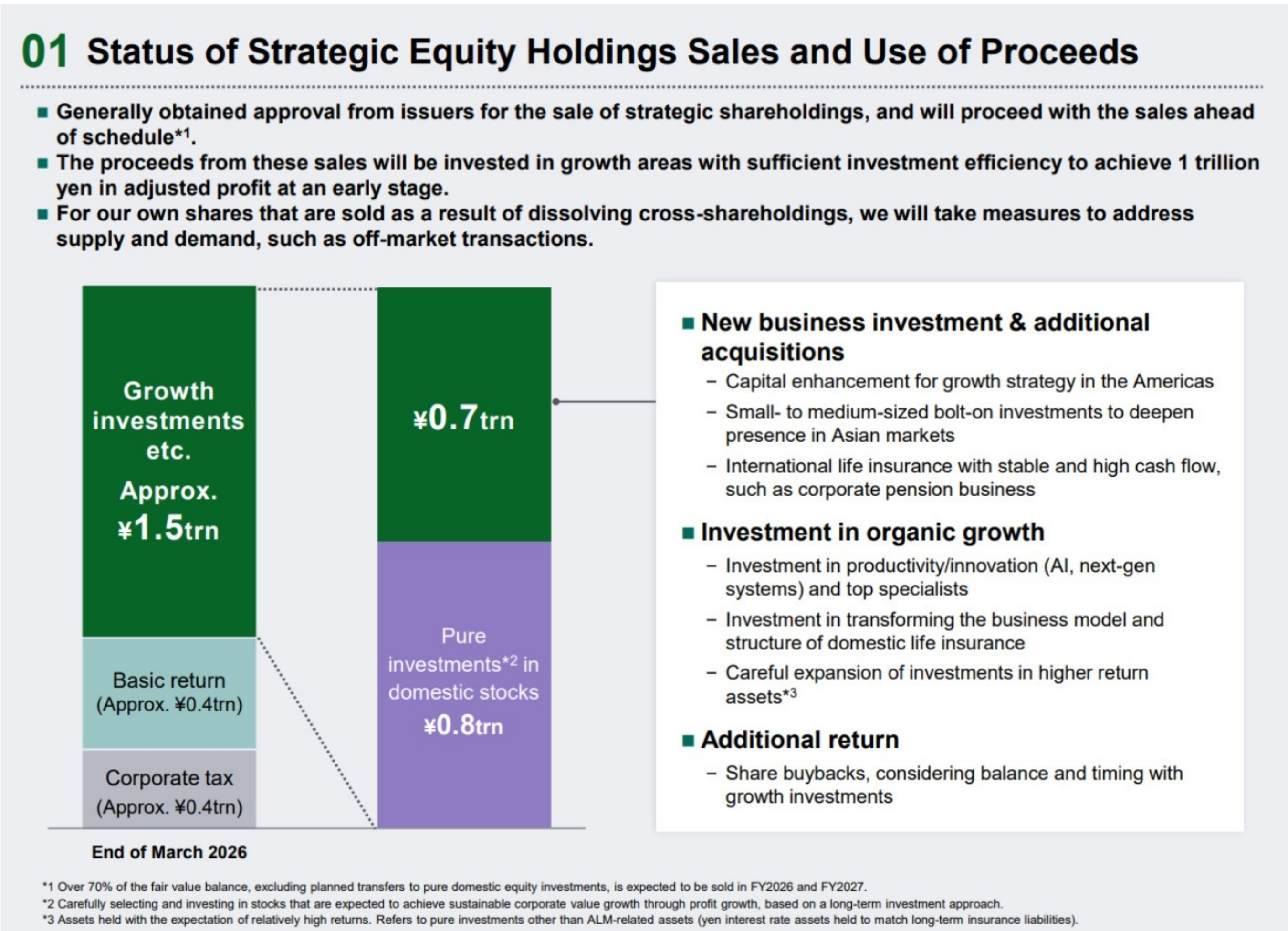


Source: Company data

M&A Strategy - MS&AD (Not Covered)

- **MS&AD has said it intends to deploy a portion of the remaining proceeds from its divestment of strategic equity holdings to new business investment & additional M&A - see Exhibit 11:** A portion of JPY$0.7trn (~A$6.3bn) will be considered for small to medium-sized bolt-on investments to deepen presence in Asian markets and/ or international life insurance companies.
- **W.R. Berkley 15% acquisition was completed in Mar-26:** JPY$0.6trn (~A$5.4bn) allocated to business investment in WRB.
- **Appears more tentative on large-scale M&A:** On its May-26 guidance call, MS&AD noted that there were no immediate plans to deploy ongoing strategic equity holdings divestments into large-scale business investments, although investments in high growth areas and overseas life will continue to be considered.

Exhibit 11: MS&AD use of strategic equity holdings divestment proceeds
Part of JPY$0.7trn (~A$5.4bn) to be allocated to new business investment and additional acquisitions



Source: Company data

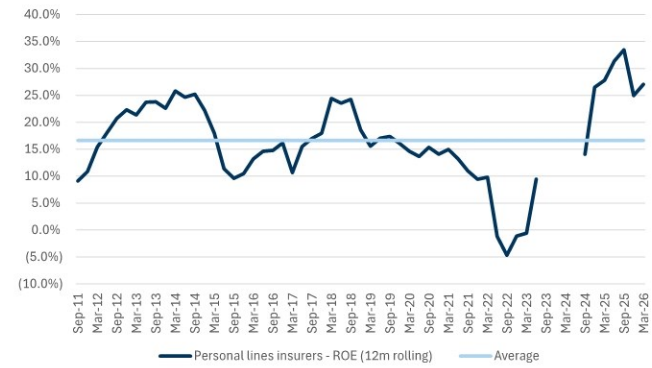
Commercial vs personal lines ROE and GWP growth

Exhibit 12: Commercial lines insurers - ROE (12m rolling)

(1) Due to accounting standard changes and data collection limitations, Sep-23 data is unavailable. (2) We note that APRA defines commercial line insurers as direct insurers that primarily sell commercial lines business.

Source: APRA, Data compiled by Goldman Sachs Global Investment Research

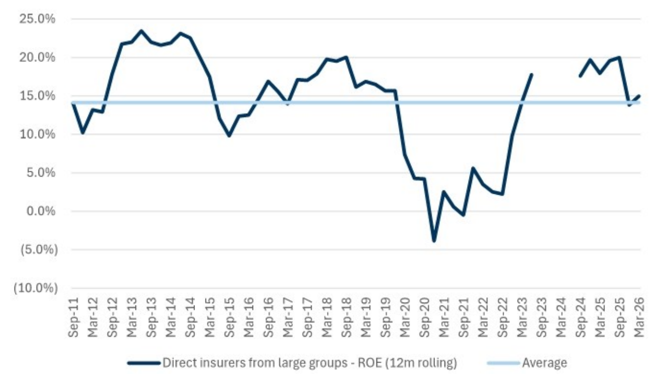
Exhibit 13: Personal lines insurers - ROE (12m rolling)



(1) Due to accounting standard changes and data collection limitations, Sep-23 data is unavailable. (2) APRA defines personal line insurers as direct insurers that primarily sell personal lines business.

Source: APRA, Data compiled by Goldman Sachs Global Investment Research

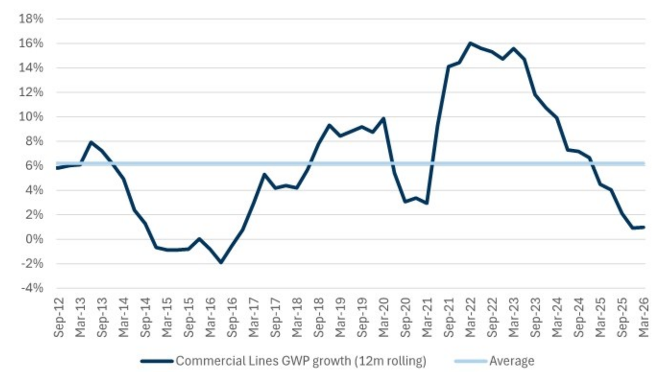
Exhibit 14: Direct insurers from large groups - ROE (12m rolling)



(1) Due to accounting standard changes and data collection limitations, Sep-23 data is unavailable. (2) We note that APRA defines "Direct insurers from large groups" as insurers in a group that makes up at least 10% of industry gross earned premium.

Source: APRA, Data compiled by Goldman Sachs Global Investment Research

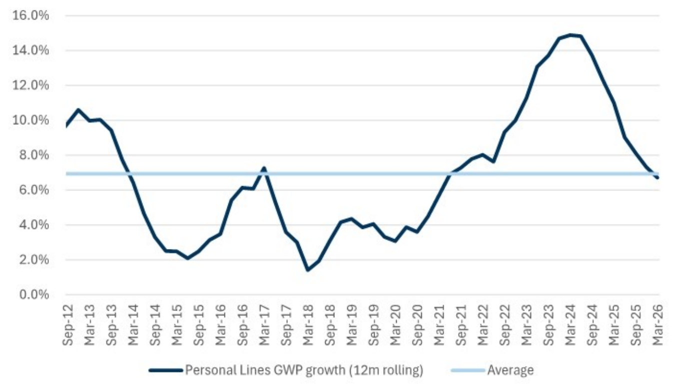
Exhibit 15: Commercial Lines GWP growth (12m rolling) and average



(1) Due to accounting standard changes and data collection limitations, Sep-23 data is unavailable and has been estimated. (2) We have built up commercial lines GWP to include Commercial motor, Fire and ISR, Directors and officers, Employers liability, Professional indemnity, Public and product liability, Cyber and Other direct classes

Source: APRA, Data compiled by Goldman Sachs Global Investment Research

Exhibit 16: Personal Lines GWP growth (12m rolling) and average



(1) Due to accounting standard changes and data collection limitations, Sep-23 data is unavailable and has been estimated. (2) We have built up personal lines GWP to include Home, Motor and CTP classes.

Source: APRA, Data compiled by Goldman Sachs Global Investment Research

Price Target, Risks and Methodology - IAG

We are Buy-rated. Our 12-month PT of A$8.60 is 50% based on our DCF valuation and 50% on a multiple of NTA derived from a regression of P/NTA to sustainable ROTE across our financials coverage universe. Our DCF valuation uses a WACC of 9.5% and a TGR of 2.5%.

Key downside risks include: 1) Rate momentum weakens materially and below loss cost inflation; 2) Volume loss; 3) Persistent claims inflation / perils. 4) Lower investment yields.

Investment Thesis - IAG

IAG is one of Australia's largest Personal and Commercial insurance companies. We have a Buy rating on IAG relative to the rest of our sector coverage. We like IAG because 1) Margins is in a strong position, 2) IAG is targeting ongoing earnings improvement in its Intermediated Insurance business driven by expense ratios, 3) Catastrophe volatility and reserve protection covers, 4) Greensill de-risked.

Price Target, Risks and Methodology - Suncorp

We are Neutral-rated. Our 12-month PT of A$20.00 is based equally on our DCF valuation and a multiple of NTA derived from a regression of P/NTA to sustainable ROTE across our financials coverage universe. Our DCF valuation uses a WACC of 9.5% and a TGR of 2.5%.

Key downside risks: 1) Commercial/Personal Rate increases faster than expected and below loss cost inflation; 2) Significant volume loss to competitors as a result of price increases / ROEs; 3) Persistent high claims inflation and higher catastrophe environment; 4) Lower investment yields. 5) We remain watchful of aggregator risks from evolving AI led distribution channels. Key upside risks include: 1) Re-acceleration in pricing environment; 2) More benign claims inflation; and 3) Lower catastrophe environment; 4) Higher investment yields; 5) Reinsurance markets remain favourable.

Investment Thesis - Suncorp

Suncorp operates across Australia and NZ Commercial and Personal insurance. We expect SUN's underlying margins to remain within its target 10-12% range over the medium term which points to strong ROTE expectations. SUN is targeting the upper end of that range for FY26. Yields, expenses and reinsurance rate benefits remain supportive of margins albeit we remain watchful of inflation spikes relative to pricing. We are Neutral rated on SUN reflecting relative valuation v historical averages noting ROE expectations, however, we are concerned about 1) Moderating rate environment, 2) Volume loss in response to rate increases, 3) Claims inflation outstripping premium rate increases.

Disclosure Appendix

Reg AC

We, Julian Braganza, FIAA and Chris Matthews, FIAA, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

Contributing Authors: Julian Braganza, FIAA Goldman Sachs Australia Pty Ltd, Chris Matthews, FIAA Goldman Sachs Australia Pty Ltd.

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Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

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	Buy	Hold	Sell	Buy	Hold	Sell
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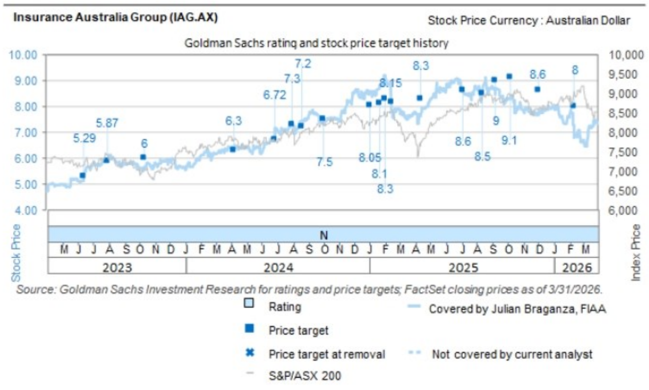
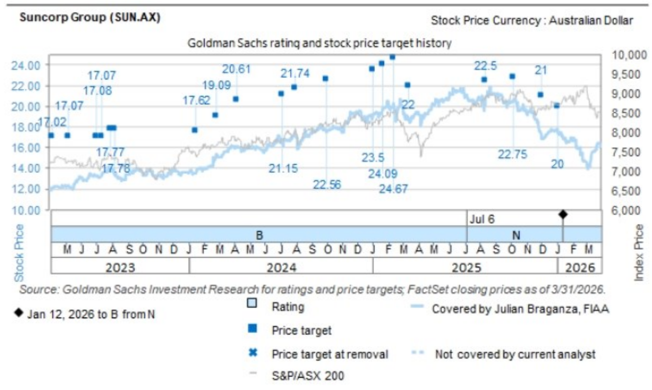
Price target and rating history chart(s)



The price targets shown should be considered in the context of all prior published Goldman Sachs research, which may or may not have included price targets, as well as developments relating to the company, its industry and financial markets.



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Target price history table(s)

Insurance Australia Group (IAG.AX)

Date of report	Target price (A$)	Closing price (A$)
24-Jun-26	8.60	7.87
12-Feb-26	8.00	6.80
02-Dec-25	8.60	7.71
07-Oct-25	9.10	8.30
09-Sep-25	9.00	8.57
13-Aug-25	8.50	8.49
06-Jul-25	8.60	8.65
14-Apr-25	8.30	7.71
13-Feb-25	8.15	7.80
02-Feb-25	8.30	9.20
21-Jan-25	8.10	8.71
02-Jan-25	8.05	8.54
03-Oct-24	7.50	7.30
21-Aug-24	7.20	7.22
31-Jul-24	7.30	7.40
03-Jul-24	6.72	7.01
28-Jun-24	6.72	7.14
07-Apr-24	6.30	6.40
11-Oct-23	6.00	5.53
21-Aug-23	5.87	5.79
31-Jul-23	5.87	5.93

Suncorp Group (SUN.AX)

Date of report	Target price (A$)	Closing price (A$)
03-Jan-26	20.00	17.80
02-Dec-25	21.00	17.28
07-Oct-25	22.75	20.52
14-Aug-25	22.50	20.77
14-Mar-25	22.00	18.66
12-Feb-25	21.00	20.32
21-Jan-25	20.50	19.63
02-Jan-25	20.00	19.06
03-Oct-24	19.20	17.44
31-Jul-24	18.50	17.55
07-Jul-24	18.00	16.55
07-Apr-24	17.54	16.01
26-Feb-24	16.25	15.43
18-Jan-24	15.00	13.78
09-Aug-23	15.13	13.34
31-Jul-23	15.13	14.02
13-Jul-23	14.53	13.34
04-Jul-23	14.53	13.31

Price targets shown in table(s) are unadjusted for corporate actions.

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